

Disruptive Innovation

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DEFINITION

Entrants win from below, not by out-performing incumbents at their own game.

KEY POINTS

- Incumbents over-serve mainstream customers with sustaining innovation
- Disruptors enter at the low end or in new markets
- They improve until they meet mainstream needs, then displace
- Use to explain why strong firms lose to simpler offerings

REFERENCE

Christensen, C.M. (1997) *The Innovator's Dilemma*. Boston: Harvard Business School Press.